

ARM-2409 | PCO-011

Commercial evidence and June close assessment - Northline Cold Storage Expansion

Prepared by	Commercial Management with Project Accounting
Cutoff	June 30, 2026
Project manager	Priya Raman
Commercial status	Draft
Purpose	June WIP evidence; not an executed contract modification

Executive assessment

The PM forecast currently assumes an unaccepted \$185,000 recovery. Because responsibility and collectability are disputed, June EAC should not be reduced by the backcharge; restore the full amount to forecast cost.

Documented facts

Item	Current evidence
Proposed recovery	\$185,000 internal backcharge position
Cost effect in PM ETC	PM forecast assumes the full recovery and reduces remaining cost
Counterparty response	Concrete trade disputes responsibility and has not accepted the allocation
Contract evidence	Notice preserves rights but does not establish collection or enforceable settlement
June close implication	Do not net recovery; restore \$185,000 to forecast ETC

Chronology

Date	Source	Event / evidence
2026-05-28	Field report	Freezer slab elevations required mechanical rework and additional hanger/support changes.
2026-06-07	ARM notice	ARM reserved backcharge rights and requested cost participation.
2026-06-19	Subcontractor response	Concrete trade denied causation and requested design documentation.
2026-06-24	Internal draft	Commercial team prepared a \$185,000 position; it had not been submitted as a final claim.

Close-use checklist

This packet supports estimate judgment but does not replace the executed contract, accounting-system contract report, or Controller approval.

- Verify posted cost and billings through the close cutoff using Vista ERP.
- Confirm whether the exposure is already included in the PM forecast ETC.
- Exclude unexecuted revenue from current contract value unless the Controller documents a specific exception.
- Include unavoidable forecast cost when the evidence indicates the work or obligation is probable.
- Retain this packet with the final WIP schedule and proposed journal entry support.

Approval status

Role	Status
Project manager	Reviewed for scope and estimate; no authority to change accounting conclusion
Commercial manager	Evidence compiled; contract modification not executed at cutoff
Controller	Close treatment to be applied in the June WIP workpaper
Vista ERP	No change to current contract value from this packet alone

Attachment index

A. Pricing summary and internal estimate | B. Correspondence log | C. Field/engineering summary | D. Close-treatment note

Attachment A — pricing / cost build-up (working)

Copied from the commercial estimate. This page contains internal allowances and rounding; it is not customer-facing pricing and does not establish entitlement.

Cost code / work package	Labor	Material / sub	OH / markup	Working total
Mechanical rework labor	\$72,000	\$43,000	\$11,500	\$126,500
Material and equipment impact	\$—	\$42,000	\$4,200	\$46,200
Supervision and schedule impact	\$11,000	\$—	\$1,300	\$12,300
Draft recovery position	\$83,000	\$85,000	\$17,000	\$185,000

Loose estimate notes

Labor productivity assumes uninterrupted access. Freight and escalation were carried from the 6/21 estimate. One subcontract quote expired at month end. PM forecast treatment must be checked independently; this attachment includes both commercial pricing and cost concepts.

Attachment B/C — correspondence and field record excerpts

EXCERPTS / NOT COMPLETE CORRESPONDENCE FILE

Time	Record
6/11 07:42	Field: access sequence changed; superintendent requested cost capture.
6/17 16:08	Commercial: pricing transmitted with exclusions and validity period.
6/27 09:14	Owner/GC: receipt acknowledged; commercial acceptance not provided.
6/30 15:36	Project accounting: no executed change located in contract folder.

Reviewer marks

PR 6/30 — scope support adequate for probable-cost review; entitlement remains open. NB 7/1 — trace ETC inclusion before final WIP. DC — do not present this packet as an approved change order.